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DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS FOR
TOWNHOMES AT LAKE DAVIDSON, A SUB-COMMUNITY OF
DAVIDSON BAY BY THE WATER

(Part of the "DAVIDSON BAY BY THE WATER" MASTER ASSOCIATION)

Drawn by and return to: Alan G. Carpenter, Attorney

STATE OF NORTH CAROLINA
MECKLENBURG COUNTY

DECLARATION OF COVENANTS,
CONDITIONS AND RESTRICTIONS FOR
TOWNHOMES AT LAKE DAVIDSON, A
SUB-COMMUNITY OF DAVIDSON BAY
BY THE WATER

KNOW ALL MEN BY THESE PRESENTS, that this Declaration of Covenants, Conditions and Restrictions for TOWNHOMES AT LAKE DAVIDSON, A SUB-COMMUNITY OF DAVIDSON BAY BY THE WATER (as hereafter amended and supplemented, this "Declaration") is made and entered into as of the 23rd day of February, 2015 by TOWER, INC., a North Carolina corporation (hereinafter referred to as the "Declarant") and RICHARD D. ENDERBY and wife, LOU ANN CURRIN (joining in the execution of the instrument as owner of Lot No. 96).

RECITALS

Declarant is the owner of that certain real property located in Mecklenburg County, North Carolina which is more particularly described in Exhibit A attached hereto ("Property"). Declarant desires to create on the Property a residential community of townhomes (the "Townhomes") together with any private streets, roads, footways, Common Areas, open spaces, landscaping, entrances, drainage facilities, access easements, site lighting and signage, and any recreation area(s) and any other common facilities shown on any Recorded Plat (as hereinafter defined) (hereinafter sometimes referred to collectively herein as the "Facilities") for the benefit of the Townhomes. The Townhomes are part of a larger community known as DAVIDSON BAY BY THE WATER (the "Community"), which includes the Townhomes. As a part of the Community, the Townhomes are subject to the Declaration for Davidson Bay by the Water filed in Book 26128, Page 806, of the Register of Deeds of Mecklenburg County, North Carolina (as amended in Book 26258, page 800, and as further amended and supplemented by instruments recorded in Mecklenburg County Register of Deeds, the "Master Declaration"). Declarant desires to provide for the preservation of the values and amenities in the Townhomes and for the maintenance of the Facilities and Common Areas in a manner consistent with the Master Declaration and, to this end, desires to subject the Property to the covenants, conditions, restrictions, easements, charges and liens, hereinafter set forth, each and all of which is, and are, for the benefit of the Property and each owner of a portion thereof. Declarant has deemed it desirable, for the efficient preservation of the values and amenities in the Townhomes, to create an entity to which should be delegated and assigned the powers of maintaining, administering, operating and replacing the Townhomes and Facilities, administering and enforcing the covenants, conditions and restrictions, and collecting and disbursing the assessments and charges hereinafter created. Declarant has caused or will cause to be incorporated under the laws of the State of North Carolina a nonprofit corporation to be known as the Townhomes at Lake Davidson, a Sub-Community of Davidson Bay by the Water, Owners Association, Inc., for the purpose of exercising the functions aforesaid.

DECLARATION

NOW THEREFORE, Declarant declares that the Property and any additions thereto, is and shall be held, used, transferred, sold, subdivided, conveyed and occupied subject to the terms, conditions and provisions of the covenants, conditions, restrictions, charges and liens (sometimes referred to herein as "covenants and restrictions") as hereinafter set forth.

ARTICLE 1 PROPERTY SUBJECT TO THIS DECLARATION

Section 1.1 Property. That certain parcel of real property which is, and shall be, held, used, transferred, sold, subdivided, conveyed and occupied subject to this Declaration (the "Property") is located in Mecklenburg County, North Carolina, and more particularly described on Exhibit A attached hereto and made a part hereof by this reference.

Section 1.2 Additions to Property. The Declarant, its successors and assigns, shall have the right but not the obligation, without further consent of the Association or its Members, to bring within the scheme and operation of this Declaration all or any portions of the real property that has been subjected to the Master Declaration and that adjoins or is otherwise in the immediate vicinity of the Property which shall then be owned by Declarant, as added to under the terms hereof from time to time. The additions authorized under this and the succeeding subsection shall be made by filing of record, in the Office of the Register of Deeds of Mecklenburg County, one or more supplementary Declarations of Covenants, Conditions and Restrictions with respect to such additional property or properties, executed by the Declarant and, if different, the owner(s) of the additional property, which shall extend the operation and effect of this Declaration to such additional property or properties (hereinafter sometimes referred to as a "Supplemental Declaration"). Any Supplemental Declaration(s) may specify such additional specific use restrictions and other covenants, conditions and restrictions to be applicable to the added property and may contain such complementary additions and modifications of this Declaration as may be necessary or convenient, in the sole judgment of the Declarant and, if different owner(s), the owner(s) of the additional property, to reflect and adapt to any difference in character of the added properties. In no event, however, shall any such Supplemental Declaration modify or add to the covenants and restrictions established by this Declaration so as to negatively affect the Property; however, this proviso shall not be interpreted to prohibit or prevent any properly instituted change in the amount of the "Assessments" (as hereinafter defined) payable by a Member of the Association by reason of any such additions; nor shall any such Supplemental Declaration adversely affect the common development scheme of the Property for use as a residential subdivision.

Section 1.3 Access Easement Reserved. The Declarant reserves unto itself for the benefit of Declarant, its successors and/or assigns, a non-exclusive and alienable easement and right of ingress, egress and regress over and across all private streets and roads within the Property, if any, for access to and from other real property of Declarant or its successors and/or assigns. Such easement shall continue until that time when all new construction has ceased on the Property, and any damage caused by Declarant, its agents, successors and/or assigns to the private streets and roads within the Property when exercising its rights created by this Section 1.3 shall be repaired at the expense of Declarant, its successors, or assigns. In addition, an easement and right of ingress, egress and regress over and across all private streets and roads within the Property, if any, is hereby granted to any applicable government agency, for the

purpose of fulfilling their duties, including, without limitation, law enforcement, fire protection, garbage collection, delivery of the mail, and any other service related to keeping the peace and preserving the general welfare.

ARTICLE 2 ADDITIONAL DECLARATIONS AND ASSOCIATIONS

Section 2.1 Master Declaration/Association. Additional covenants and restrictions applicable to the Property are contained in the Master Declaration. The Master Declaration establishes an association (the "Master Association") for the purposes of administration and enforcement of the Master Declaration. To the extent the Master Declaration governs the Property as part of the Community, the covenants and restrictions contained in the Master Declaration shall control and take precedence over the covenants and restrictions contained in this Declaration. The Master Association shall govern the Property to the extent provided in the Master Declaration except to the extent the Master Association has delegated such responsibility to the Association as provided in the Master Declaration.

ARTICLE 3 DEFINITIONS

The following words when used in this Declaration or any amended or Supplemental Declaration (unless the context shall require otherwise) shall have the following meanings:

"Assessment(s)" shall mean and refer to the assessment(s) and charges levied by the Association against Members who are the Owners of Lots or Dwelling Units in the Property and shall include annual Assessments, special Assessments and Special Individual Assessments as described in Article Ten of this Declaration.

"Association" shall mean and refer to Townhomes at Lake Davidson, a Sub-Community of Davidson Bay by the Water, Owners Association, Inc.

"Board" shall mean and refer to the Board of Directors of the Association.

"Bylaws" shall mean and refer to the bylaws of the Association and all amendments thereto.

"Common Expenses" shall mean and refer to:

(i) Expenses of administration, operation, utilities, maintenance, repair or replacement of the Common Areas, including payment of taxes and public assessments levied against the Common Areas.

(ii) Expenses declared Common Expenses by the provisions of this Declaration or the Bylaws.

(iii) Expenses agreed upon from time to time as Common Expenses by the Association and lawfully assessed against Members who are Owners in the Property, in accordance with the Bylaws or this Declaration.

(iv) Any valid charge against the Association or against the Common Areas as a whole.

(v) Any expenses incurred by the Association in connection with the discharge of its duties hereunder and under the Bylaws and its articles of incorporation.

“Common Area(s)” shall mean and refer to those areas of land described or referred to as “Amenity Area”, “Amenity Areas”, “Common Open Space”, “Common Open Spaces”, “COS”, “Common Property”, “Common Properties”, “Common Area”, or “Common Areas” in any declaration of covenants, conditions and restrictions to which the Property is submitted or subjected by the Declarant, or shown on any Recorded Plat as “Amenity Area”, “Amenity Areas”, “Common Property”, “Common Properties”, “Common Area” or “Common Areas”, or shown on a Recorded Plat as open space, streets, roads, or pedestrian walking easements (together with all improvements located thereon) which are a part of the Property and as such are intended to be devoted to the common use and enjoyment of the Members, subject to special rights and limitations, if any, granted to or imposed on Owners of particular Lots or Dwelling Units. The Common Areas shall also include any storm water device that serves more than one (1) Lot, any utility line located outside public street rights-of-way and public utility easements, and serving more than one (1) Lot. It is intended that the Common Area shall be conveyed to the Association for the benefit of each of the Owners.

“Declarant” shall mean and refer to Tower, Inc., a North Carolina corporation, its successors and assigns, and any person or entity who is specifically assigned the rights and interests of Declarant hereunder or under a separate instrument executed by the Declarant and recorded in the Mecklenburg County Registry. Declarant is the entity that has been granted the right, power, authority, duty or obligation to exercise the powers of the Declarant to ensure the development and maintenance of the Property as herein set forth.

“Developer” shall mean and refer to BEATY STREET DEVELOPMENT, LLC, the entity that is the master developer of the Community and the Declarant under the Master Declaration, its successors and assigns.

“Dwelling Unit” shall mean and refer to any improvement or portion thereof situated on an Improved Lot intended for use and occupancy as one (1) single family dwelling, irrespective of the number of Owners thereof (or the form of ownership) located within the Property and shall, unless otherwise specified, include within its meaning (by way of illustration, but not limitation) single family attached homes, such as townhouses and condominium units, and patio or zero lot line homes. Where appropriate by context, the term shall include both the improvements and the real property on which the improvements are situated.

“Facilities” shall have the meaning assigned to it in the Recitals of this Declaration.

“FHA” shall mean and refer to the Federal Housing Authority of the United States Department of Housing and Urban Development.

“Improved Lot” shall mean and refer to any Lot on which the improvements constructed thereon are sufficiently complete to be occupied as a Dwelling Unit.

"Lot" shall mean and refer to any numbered parcel of land within the Property which is intended for use as a site for a Dwelling Unit, as shown upon any Recorded Plat of any part of the Property and labeled thereon as a "Lot", and shall not include Common Areas or any property in the Property not yet subdivided for sale as an individual lot. No property in the Property shall be developed as a Dwelling Unit until designated as a Lot on a Recorded Plat. Property designated as a Lot may later be designated for some other use on a Recorded Plat.

"Master Association" shall have the meaning assigned to it in Article Two of this Declaration.

"Master Declaration" shall have the meaning assigned to it in the Recitals of this Declaration.

"Member" shall mean a member of the Association and shall refer to an Owner in the Property.

"Owner" shall mean and refer to the record owner, whether one or more persons or entities, of the fee simple title to any Lot or Dwelling Unit situated upon the Property. Notwithstanding any applicable theory of any lien or mortgage law, "Owner" shall not mean or refer to any mortgagee or trust beneficiary unless and until such mortgagee or trust beneficiary has acquired title pursuant to foreclosure or any grant or proceeding in lieu of foreclosure. (Note: the words "Member" and "Owner" are meant to describe all of the owners of Lots or Dwelling Units interchangeably as semantics dictate throughout this Declaration.)

"Property" shall have the meaning assigned to it in Article One of this Declaration.

"Recorded Instrument" shall mean and refer to any document relating to the Property, or any portion thereof, recorded in the Mecklenburg County Registry and executed by the Declarant (during Class II membership and until two years after termination thereof, and by the Association otherwise) to show its consent thereto (and by any other Owner(s) of property described therein and affected thereby if different). In any case in which the designation or description of the same property described in two different Recorded Instruments is different (for example, property is designated as a Lot in one instrument and a street in another, or legal boundaries of areas are described differently in different Recorded Instruments), the designation and description on the later-recorded of the Recorded Instruments shall control.

"Recorded Plat" shall mean and refer to any map of the Property, or any portion thereof, recorded in the Mecklenburg County Registry and executed by the Declarant (during Class II membership and until two years after termination thereof, and by the Association otherwise) to show its consent thereto (and by any Owner(s) of such property whose survey is shown thereon if different). In any case in which the designation and/or boundary lines of the same property shown on two different Recorded Plats are different (for example, property is designated as a street on one plat and as a Lot on the other, or boundary lines are shown differently on two different Recorded Plats), the designation and boundary lines on the later-recorded of the Recorded Plats shall control.

"Special Individual Assessments" shall have the meaning assigned to it in Section 10.5 of this Declaration.

"Supplemental Declaration" shall have the meaning assigned to it in Section 1.2 of this Declaration.

"Townhomes" shall have the meaning assigned to it in the Recitals of this Declaration.

"VA" shall mean and refer to the United States Department of Veterans Affairs.

ARTICLE 4 GENERAL PROVISIONS

Section 4.1 Duration. The covenants and restrictions of this Declaration shall run with the land, and shall inure to the benefit of, and be enforceable by, the Association or any Owner, its and their respective legal representatives, heirs, successors, and assigns, for the term of the Master Declaration, as amended and executed from time to time. This Declaration may be amended in accordance with the provisions of Article 13 hereof. Amendments made in conformity with that Article may alter any portion of this Declaration hereof, including but not limited to the duration and amendment provisions hereof.

Section 4.2 Termination. The termination of this Declaration shall require the assent of at least eighty percent (80%) of the votes in the Association, taken at a meeting duly called and held for this purpose, and shall be evidenced by a termination agreement recorded in the Mecklenburg County Registry and otherwise complying with the terms of North Carolina General Statutes Section 47F-2-118.

Section 4.3 Notices. Any notice required to be sent to any Member or Owner, under the provisions of this Declaration, shall be deemed to have been properly sent when mailed, postage prepaid, registered or certified mail, return receipt requested, or deposited with an overnight courier (such as, but not limited to Federal Express) and addressed to the person at the last known address of the person who appears as Member or Owner on the records of the Association at the time of such mailing. In the event that a Member or Owner's address is absent from the Association's records, the notice may be sent to the address listed on the Mecklenburg County tax records at the time of the mailing. The sender shall not be required to cause title to any Lot or Dwelling Unit to be examined. Notice to any one of the Owners, if title to a Lot or Dwelling Unit is held by more than one, shall constitute notice to all Owners of that Lot or Dwelling Unit.

Section 4.4 Enforcement. The Association, Declarant and/or any Owner may enforce these covenants and restrictions. Enforcement of these covenants and restrictions shall be by an appropriate civil proceeding against any person or persons violating or attempting to violate any covenant or restriction, either to restrain violation or to recover damages, or both, and against the land to enforce any lien created by these covenants and restrictions; and failure by the Association, Declarant or any Owner to enforce any covenant or restriction herein contained shall not be deemed a waiver of the right to do so thereafter. The Association or the Declarant may impose fines or suspend privileges or services in the event of an Owner's failure to comply with the requirements of this Declaration or any architectural guidelines or rules promulgated by the Declarant or the Association. In such circumstances, a hearing shall be held before an adjudicatory panel appointed by the Board to determine if an Owner should be fined or if

privileges or services should be suspended. If the Board fails to appoint an adjudicatory panel to hear such matters, hearings under this section shall be held before the Board. The Owner charged shall be given notice of the charge, opportunity to be heard and to present evidence, and notice of the decision. If it is decided that a fine should be imposed, a fine not to exceed one hundred fifty dollars (\$150.00) may be imposed for the violation and without further hearing, for each day after the decision that the violation occurs or continues. Such fines shall be Assessments secured by liens as more particularly described in Article Ten hereof. If it is decided that a suspension of privileges or services should be imposed, the suspension may be continued without further hearing until the violation or delinquency is cured. The proceedings imposing fines shall be conducted in accordance with the provisions of the North Carolina Planned Community Act (North Carolina General Statutes Chapter 47F) as it may be amended from time to time.

Section 4.5 Severability. Invalidation of any one of these covenants and restrictions by judgment or court order shall in no way affect any other provision which shall remain in full force and effect.

ARTICLE 5 ARCHITECTURAL CONTROL

Section 5.1 Master Association Control. The Property shall be subject to the architectural control provisions contained in Article X of the Master Declaration and shall be subject to the authority of the Master Association contained therein.

ARTICLE 6 RESTRICTIONS ON USE AND RIGHTS OF THE ASSOCIATION, DECLARANT AND OWNERS

To the extent not otherwise addressed in the Master Declaration, the following restrictions are placed on the Property (including without limitation all Lots and Common Areas) and the use thereof:

Section 6.1 Permissible Uses. No Lot shall be used except for residential purposes (with the exception of any sales center, office, building or model home constructed or used by the Declarant, his agent or any builder who has received the prior written permission of Declarant). No building of any type shall be erected, altered, placed, or permitted to remain on any Lot other than a Dwelling Unit and its accessory building(s), which shall comply with any applicable zoning regulations and the requirements of Articles Five and Six of this Declaration. The Lots (other than the Common Area) within the Property shall be limited to one single-family attached Dwelling Unit and accessory structures with appropriate setbacks approved in accordance with the terms of this Declaration.

Section 6.2 Care and Maintenance. Each Owner shall (a) keep the interior of his Dwelling Unit including, but not limited to, all appliances and utility systems, and the exterior of the Lot in a safe, neat and clean condition at all times; (b) permit no unsafe or unsanitary conditions in his Dwelling Unit or on his Lot; (c) comply with any and all obligations imposed upon Owners by applicable building and housing codes; and (d) not deliberately or negligently

destroy, deface, damage or remove any part of any Dwelling Unit or the Common Areas, or knowingly permit any person to do so. If an Owner fails to comply with the standards or requirements of the Association relative to maintenance after written notice to do so the Association shall have the right to undertake the necessary maintenance or repairs at the expense of the defaulting Owner, as provided in Section 8.9.

Section 6.3 Offensive Activity. No noxious or offensive trade or activity shall be conducted upon any Lot, or in the Common Area, nor shall anything be done thereon which may be or may become an annoyance or nuisance to any other Owner, or which may endanger the health or safety of any other Owner of the Property.

Section 6.4 Noise and Disorderly Conduct. No Owner shall engage in any disorderly conduct on the Property, or cause or allow any disturbance, including, but not limited to, shouting, singing, or playing any musical instruments, radio, stereo, or television, in a manner that unreasonably disturbs any other Owner of the Property.

Section 6.5 Fire Hazards. No Owner shall make any alterations to his Dwelling Unit or bring or keep anything therein which will increase the risk of fire, conflict with fire laws or the regulations of the applicable governmental entity, or increase the premiums of any insurance policy on the buildings on the Property maintained by the Association.

Section 6.6 Rubbish. All trash, garbage and other waste shall be kept in sanitary containers within each Dwelling Unit or appropriate containers on the Lot but which shall be screened from public view, and the Owner of each Lot shall be responsible for placing such garbage in a roll-out container; and rolling the container out to the designated trash pick-up area on a regular basis. All trash containers or other equipment for storage or disposal of such waste shall be kept in a clean and sanitary condition and shall be located in appropriate areas concealed from public view, except on garbage collection days.

Section 6.7 Animals. No livestock, poultry or other animals shall be kept or maintained in any Dwelling Unit or on any Lot, except for common household pets, such as cats and dogs which otherwise comply in all respects with the provisions of this Declaration and/or the Master Declaration. No pets may be kept or bred for: any commercial purposes, and no savage or dangerous pets may be kept on the Property. All pets shall be controlled so as not to create a nuisance or unreasonable disturbance (including loud and excessive barking) on the Property. All pets must be housed inside a Dwelling Unit, and no pet shall be permitted upon the Common Area unless carried or leashed by a person that can control the pet. Pets shall not be permitted to defecate in the Common Area, or urinate on the shrubbery, and each Owner shall clean up immediately after his pet if an accident occurs. All pets shall be registered or inoculated as required by law. Each owner shall hold the Association harmless from any claim resulting from any action of his pet, and shall repair at his expense any damage to the Common Area caused by his pet. If any Owner violates these rules more than twice in any twelve (12) month period, then in addition to any fines provided in the Bylaws, the Association shall have the right to require the Owner to remove the pet permanently from the Property upon not less than ten (10) days' written notice.

Section 6.8 Decks. Any deck appurtenant to any Dwelling Unit shall be kept in a clean, neat, and orderly condition at all times, and shall not be used for the overnight storage of garbage, or for the drying of laundry. In particular, towels or banners shall not be hung on the deck or balcony railings, and any dead plants shall be removed promptly. No indoor outdoor carpeting, hot tub, or other pool shall be installed on any deck. Any furniture on the deck shall be appropriate outdoor furniture and shall be maintained in a neat, tidy, and good condition. Barbecue grills may be stored on a rear deck, but all other personal property (such as bicycles, lawn care equipment and recreational equipment) shall be stored in a manner so as not to be visible from the Common Areas or other Lots. If permitted by applicable building codes and zoning ordinances, an Owner may use or store a cooking grill on a rear deck, but such Owner shall be responsible for complying with all applicable laws, ordinances, and regulations in connection with such storage and use.

Section 6.9 Signs. No signs of any kind (except one sign per Lot of not more than four square feet containing the words "for rent" or "for sale" and located in the window of the affected Dwelling Unit) shall be displayed to the public view on any Lot or on the Common Area. The provisions of this Section 6.9 shall not prevent the placement of permanent signs identifying either the Community and/or the Townhomes at the entrances to the Property, nor shall it prevent Declarant or any Builder or its agents from placing any type of sign on or within the Property during the construction and sale period, including signs on the Common Area and on any unsold Lot or Dwelling Unit.

Section 6.10 Fences. No fence, wall, patio enclosure, hedge, garden or mass planting shall be erected, maintained or permitted upon the Property, other than those expressly approved by the Declarant or the Association, or those installed by Declarant or a Builder prior to the initial conveyance of each Lot.

Section 6.11 Clotheslines. No clothesline of any type shall be placed, used or allowed to remain on any Lot.

Section 6.12 Use of Common Area in General. No Owner shall obstruct the entrances, streets, sidewalks, driveways, parking areas and other facilities in the Common Area in any way, or use them for other than their intended purposes. The Common Area shall not be used for the storage of supplies, personal property or trash or refuse of any kind except in Common Area trash receptacles placed at the discretion of the Board. There shall be no bicycles, tricycles, wagons, toys or other miscellaneous personal property parked or left in the Common Area at any time. All bicycles shall be parked in the area designated for bicycles. In general, no activity shall be carried on nor conditions maintained by any Owner either in his Dwelling Unit or upon the Common Areas which despoils the appearance of the Property.

Section 6.13 Vehicles. No house trailer or mobile home, school bus, truck or commercial vehicle over three fourths (3/4) ton capacity or having ladder or pipe or similar racks or utility beds, boat or boat trailer, motor home, motorcycle, camper, or van (not to include passenger vans for non commercial use), junked or wrecked vehicle, or vehicle on blocks shall be kept, stored or parked overnight either on any street or Common Area or on any Lot, except within enclosed garages. In addition, no vehicle of any kind may be kept, stored or parked on any non-paved area of a Lot or Common Area. Notwithstanding the foregoing, passenger

automobiles may be parked in driveways, if the number of vehicles owned by Owner exceeds the capacity of the Owner's garage (if any). The foregoing will not be interpreted, construed or applied to prevent the temporary nonrecurrent parking of any vehicle, boat or trailer for a period not to exceed forty-eight (48) hours upon any Lot. Nor shall the foregoing be interpreted, construed or applied to prevent Declarant, or any builder approved by Declarant, from locating construction and/or sales trailers within the Property as necessary. No significant automobile repair shall be allowed on the Property. The Association shall have the right to tow any vehicle in violation of this paragraph at its owner's expense.

Section 6.14 Parking. All vehicles must be parked only in the driveways or garages on each Lot, or in other parking spaces designated by the Association, and must not obstruct or interfere with the ingress or egress of others. In particular, no vehicle shall block the private access drive or the driveway of any other owner. All parking in the Common Areas shall be on a first come, first served basis, and subject to any rules or regulations that may be promulgated by the Association. The paved driveway on each Lot may be used only by the owner of that Lot, and his agents and invitees. The Association shall have the right to tow any vehicle in violation of this paragraph at its owner's expense.

Section 6.15 Division of Lots; No Time Sharing; Leasing. No Lot shall be further subdivided into multiple Dwelling Units. No Lot or ownership interest may be subdivided to permit time sharing or other devices to effect interval ownership. For purposes of this section "time sharing" or "other devices to effect interval ownership" shall include, but not be limited to, ownership arrangements, including uses of corporation, trusts, partnerships, leases or tenancies in common, in which four or more persons or entities, not members of a single household, have acquired, by means other than will, descent, inheritance or operation of law, an ownership interest (directly or indirectly, equitable or legal) in the same Dwelling Unit and such owners have a formal or informal right-to-use or similar agreement. Leasing of a residence shall be permitted provided that the minimum term of the Lease shall be six (6) months and the tenant under such Lease shall be bound by all of the provisions of this Declaration. Such Lease shall not relieve the Owner of its responsibilities and obligations under this Declaration.

Section 6.16 Utilities and Other Easements. All utility lines of every type, including but not limited to water, electricity, gas, telephone, sewage and television cables, running from the main trunk line or service location to any Dwelling Unit must be underground. The Declarant reserves unto itself, its successors and assigns, a perpetual alienable and releasable easement and right on, over and under the ground to erect, maintain and use water, irrigation, electric, gas, telephone, sewage and television cables, and any other utilities lines and conduits for the purpose of bringing public or other services, at this time known or unknown, to the Property on, in, under and over the streets or roads and over any Lot shown on any Recorded Plat of the Property, within ten (10) feet of each lot line fronting on a street, within ten (10) feet along the rear line of each Lot and over such other areas as are so identified on any recorded plats of the Property. In addition, the Association may cut, in the above described easements, as well as any where else that such may be required, at its own expense, drain ways for surface water and/or to install underground storm drainage wherever and whenever such action is required by applicable health, sanitation or other state or local authorities, or in order to maintain reasonable standards of health, safety and appearance. In addition, along street fronting property lines, in the ten (10) foot easement hereby reserved, Declarant also reserves the right to install,

maintain and repair bike and pedestrian paths, street lights and/or street-side landscaping, which right shall automatically transfer to the Association at any time(s) when there is no Class II membership. Any easements first identified on recorded instruments or Recorded Plats of property no longer owned by the Declarant must be consented to on the Recorded Plat or other recorded instrument by the Owner of such property. The Declarant may, but is not required to, release any of the easements reserved herein as to any Lot for which it deems such easement is unnecessary for the efficient development and operation of the Property, but it may do so only until two years after Class II membership has last terminated.

Section 6.17 Minimum Square Feet in Dwelling Unit. The Declarant reserves unto the Association the right to establish or modify the minimum square feet standards for Dwelling Units from time to time and of varying amounts in various portions of the Property. Such standards shall not be retroactive as to portions of the Property no longer owned by the Declarant. The rights granted to the Association hereunder shall be subject to and subordinate to the rights, if any, granted to the Master Association in this regard pursuant to the Master Declaration.

Section 6.18 Construction, Settling and Overhangs. Each Lot and the Common Area shall be and is subject to an easement for encroachments created by construction, settling and overhangs, as originally designed or constructed, so long as such encroachments exist. Every portion of a Lot and each Dwelling Unit constructed thereon and contributing to the support of an abutting Dwelling Unit shall be burdened with an easement of support for the benefit of such abutting Dwelling Unit. If adjoining Dwelling Units are partially or totally destroyed, and then rebuilt, the Owners of the Lots so affected agree that minor encroachments from the adjacent Lots or Common Area resulting from construction shall be permitted and that a valid easement for such encroachments shall exist.

ARTICLE 7

ADDITIONAL RIGHTS RESERVED TO DECLARANT

Section 7.1 Withdrawal of Property. The Declarant reserves the right to amend this Declaration, so long as it has a right to annex additional property pursuant to Article One, for the purpose of removing any portion of the Property that has not yet been improved with structures from the coverage of this Declaration, provided such withdrawal does not reduce the total number of Lots then subject to this Declaration by more than ten percent (10%). Such amendment shall not require the consent of any person other than the Owner(s) of the property to be withdrawn, if not the Declarant, and, if required, the FHA or the VA. If the property is or includes Common Area, the Association must first consent to such withdrawal. The Declarant shall not have the right to withdraw any of the Property from the terms of this Declaration without the consent of at least two-thirds of the Lot Owners other than the Declarant.

Section 7.2 Right to Develop. The Declarant and its employees, agents, contractors and designees shall have a right of access and use and an easement over and upon all of the Common Areas for the purpose of making, constructing and installing such improvements to the Common Areas as it deems appropriate in its sole discretion. Damage done to the Common Areas shall be repaired, with the Common Area being restored to its original condition, to the extent such repair and restoration is reasonably practicable. Every person that acquires any

interest in the Property acknowledges that the Community is a master planned community, the development of which is likely to extend over many years, and agrees not to protest, challenge or otherwise object to (a) changes in uses or density of property outside the Townhomes in which such person holds an interest, or (b) changes in the site plan filed with the County of Mecklenburg in connection with the Property as it relates to property outside the Townhomes in which such person holds an interest. Declarant shall have the right, without the consent or approval of the Owners, to add Common Area, change Dwelling Unit types for new property added to the Community, and, subject to Section 7.1 above, withdraw real property from the development.

Section 7.3 Right to Transfer or Assign Declarant Rights. Any or all of the special rights and obligations of the Declarant set forth in this Declaration or the Bylaws may be transferred in whole or in part to other persons; provided, the transfer shall not reduce an obligation nor enlarge a right beyond that which the Declarant has under this Declaration or the Bylaws. No such transfer or assignment shall be effective unless it is in a written instrument signed by the Declarant and duly recorded in the Mecklenburg County Registry. The foregoing sentence shall not preclude Declarant from permitting other persons to exercise, on a one time or limited basis, any right reserved to Declarant in this Declaration where Declarant does not intend to transfer such right in its entirety, and in such case it shall not be necessary to record any written assignment unless necessary to evidence Declarant's consent to such exercise.

Section 7.4 Marketing. Until such time as the last Lot is conveyed by Declarant, Declarant shall be entitled to operate one or more "model" homes within the Property and to otherwise engage in all reasonable activities intended to market and sell Townhomes, including, without limitation, locating marketing and directional signs and flags within the Property and locating construction and sales trailers within the Property.

ARTICLE 8

MEMBERSHIP; VOTING RIGHTS IN THE ASSOCIATION RIGHTS AND RESPONSIBILITIES OF THE ASSOCIATION

Section 8.1 Membership. Every person or entity who is a record Owner of a fee simple interest in any Lot or Dwelling Unit in the Property is subject by this and any other declarations made in connection herewith to all rights, responsibilities and assessments of the Association and shall be a Member of the Association, provided, however, that any such person or entity who holds such interest merely as a security for the performance of an obligation shall not be a Member.

Section 8.2 Voting Classes. The Association shall have two (2) classes of voting memberships:

(a) Class I. The Class I Members shall be all Owners of Lots or Dwelling Units within the Property, other than the Declarant as long as Class II membership exists. Any Class I Member in the Property shall be entitled to one (1) vote for each Lot or Dwelling Unit which it owns. In the case of multiple ownership of any Lot or Dwelling Unit, however, those multiple Owners shall be treated collectively as one Owner.

(b) Class II. The Class II Member shall be the Declarant, who shall be entitled to six (6) votes for each Lot or Dwelling Unit owned by it within the Property. The Class II membership shall cease and be converted to Class I membership on the happening of the first to occur of the following events: (I) Declarant has sold and closed the sale of seventy-five percent (75%) of all Lots within the Property, or December 31, 2012. If the Class II membership has been terminated or has expired and subsequently additional properties owned by the Declarant thereafter become subject to this Declaration pursuant to Section 1.2, the Class II membership shall immediately be reinstated as of the date such additional properties become subject to this Declaration and shall not terminate until Declarant has sold and closed the sale of seventy-five percent (75%) of all Lots within the entirety of the property then comprising the Property.

Section 8.3 Voting; Proxies

(a) In the event only one of the multiple Owners of a Lot or Dwelling Unit is present at a meeting of the Association, the Owner who is present is entitled to cast all the votes allocated to that Lot or Dwelling Unit. If more than one of the multiple Owners are present, the votes allocated to that Lot or Dwelling Unit may be cast only in accordance with the agreement of a majority in interest of the multiple Owners. Majority agreement is conclusively presumed if any one of the multiple Owners casts the votes allocated to that Lot or Dwelling Unit without protest being made promptly to the person presiding over the meeting by any of the other Owners of the Lot or Dwelling Unit.

(b) Votes allocated to a Lot or Dwelling Unit may be cast pursuant to a proxy duly executed by an Owner. If a Lot or Dwelling Unit is owned by more than one person, each Owner of the Lot or Dwelling Unit may vote or register protest to the casting of votes by the other Owners of the Lot or Dwelling Unit through a duly executed proxy. An Owner may not revoke a proxy given pursuant to this Section except by actual notice of revocation to the person presiding over a meeting of the Association. A proxy is void if it is not dated. A proxy terminates 11 months after its date, unless it specifies a shorter term.

(c) No votes allocated to a Lot or Dwelling Unit owned by the Association may be cast.

Section 8.4 Rights and Responsibilities of the Association. Subject to the rights of Owners and Declarant as set forth in this Declaration, and the rights of the Master Association as set forth in the Master Declaration, the Association has exclusive management and control of the Common Areas and all improvements thereon and all furnishings, equipment and other personal property relating thereto as provided in this Declaration. The Association's duties with respect to such Common Areas include, but are not limited to, the following:

- (a) maintenance of the Common Areas;
- (b) management, operation, maintenance, repair, servicing, replacement and renewal of all landscaping, improvements, equipment, irrigation facilities and personal property constituting part of the Common Areas or located upon the Common Areas so as to keep all of the foregoing in good, clean, attractive, sanitary, safe and serviceable condition, order and repair;
- (c) all landscaping of the Common Areas;

(d) maintenance of adequate public liability insurance insuring the Association and its officers and directors, and adequate property casualty or hazard insurance with a minimum replacement value of eighty percent (80%) after application of any deductibles, for the benefit of the Association with respect to the Common Areas, all of the foregoing insurance policies being maintained and insurance proceeds being used in compliance with the provisions of North Carolina General Statutes Section 47F-3-113 as amended from time to time;

(e) payment of all taxes and assessments validly levied, assessed or imposed with respect to the Common Areas;

(f) maintenance of private streets and recreational and other facilities located on the Common Areas;

(g) payment of assessments for public and private capital improvements made to or for the benefit of the Common Areas; and

(h) procure and maintain insurance as required under Article 11.

The Association may in its discretion also provide other services as and to the extent the Association deems appropriate, such as, but not limited to, security services or devices, including but not limited to operation of an entry guard house and any other security gates, security personnel and overall traffic control.

Section 8.5 Construction of Streets and Roads. The Declarant is responsible for construction of and maintenance of streets and roads within the Property until such roads are accepted for maintenance by the applicable governmental authority. Notwithstanding the foregoing, upon the completion of construction of the streets and roads and conveyance of such roads to the Association, the Association shall be required to undertake the management, operation, maintenance, repair, servicing, replacement and renewal of all streets and roads within the Property and all improvements thereon; provided, however, following any irrevocable acceptance of the streets and roads for maintenance as public rights of way by applicable governmental entities, the maintenance obligations of the Association for the streets and roads shall only be to the extent such activities are not performed by the applicable governmental entities.

Section 8.6 Third-Party Services. The Association may obtain and pay for the services of any person or firm to manage its affairs to the extent the Board deems advisable, as well as such other person or firm as the Board determines is necessary or desirable, whether such person or firm is furnished or employed directly by the Association or by any person or firm with whom it contracts. Without limitation, the Board may obtain and pay for legal, accounting, engineering or other professional services necessary or desirable in connection with the Common Areas or the enforcement of this Declaration, the Association's Articles of Incorporation, Bylaws, rules or regulations. The Association may, acting through its Board, contract with the Master Association, other residential associations or commercial entities, neighborhoods or clubs to provide services or perform services on behalf of the Association and its Members.

Section 8.7 Ownership By The Association. The Association may acquire, hold, exchange and dispose of real property and tangible and intangible personal property, subject to such restrictions as from time to time may be contained in this Declaration, the Association's Articles of Incorporation or the Bylaws.

Section 8.8 Rules and Regulations. The Association, from time to time, may adopt, alter, amend, rescind and enforce reasonable rules and regulations governing use and operation of the Common Areas, which rules and regulations shall be consistent with the rights and duties established by this Declaration. The validity of the Association's rules and regulations, and their enforcement, shall be determined by a standard of reasonableness for the purpose of protecting the value and desirability of the Property.

Section 8.9 Non-Performance By Owner. The Association may perform any duty required of an Owner hereunder or under the Bylaws and assess the costs thereof against the Owner's Lot(s) or Dwelling Unit(s), as a Special Individual Assessment in accordance with the provisions of Sections 10.5 hereof. The Association shall first provide 30 days' written notice to the Owner of its intention to perform such duties and charge the Owner for the cost thereof, and it shall so perform the duties and charge the Owner for the cost thereof only if the duties are not fully performed at the end of the 30-day period.

Section 8.10 Landscaping. The Association may provide for or perform itself the services of landscaping and maintenance of right-of-way dedication areas on or adjacent to the Property so as to ensure an aesthetically pleasing and uniform look along roads, streets, rights-of-way, or Common Areas that are within or adjacent to the Property. Expenses of the Association in performing these tasks, should the Association choose to assume responsibility for these tasks, shall be a Common Expense.

Section 8.11 Limitation on Litigation of the Association. No judicial or administrative proceeding shall be commenced or prosecuted by the Association unless approved by a vote of seventy-five percent (75%) of the Members. This Section shall not apply, however, to (a) actions brought by the Association to obtain injunctive relief to enforce the provisions of this Declaration, (b) the imposition and collection of assessments as provided in Section 10.1, 10.4, 10.5, and 10.10 and (c) proceedings involving challenges to ad valorem taxes. This Section shall not be amended unless such amendment so made by the Declarant or is approved by a vote of seventy-five percent (75%) of the Members.

ARTICLE 9 PROPERTY RIGHTS IN THE COMMON AREAS

Section 9.1 Members' Easements of Enjoyment. Subject to the provisions of Section 9.3, every Member shall have a right and easement of enjoyment in and to all of the Common Areas and the Facilities and such easement shall be appurtenant to and shall pass with the title to every Lot or Dwelling Unit in the Property.

Section 9.2 Delegation of Use. Any Owner may delegate its rights of enjoyment of the Common Areas and the Facilities to the members of its family, its tenants, contract purchasers who reside on the property, or its guests.

Section 9.3 Title to Common Areas. The Declarant may retain the legal title to any Common Areas shown on any Recorded Plat of the Property, until such times as it has completed improvements, if any, thereon and until such times as Declarant so wishes and/or, in the opinion of the Declarant, the Association is able to maintain the same but, notwithstanding any provision to the contrary herein, the Declarant hereby covenants, for itself, its successors and assigns, that it shall convey, and upon such conveyance the Association shall accept, any such Common Areas to the Association not later than December 31, 2020. The Common Areas cannot be mortgaged or conveyed to any entity besides the Association or the Master Association without the consent of at least eighty percent (80%) of the Owners, excluding the Declarant. Notwithstanding the foregoing, in the event that any Owner finances his purchase of a Lot or Dwelling Unit through a loan guaranteed by the VA or insured by FHA and so informs the Declarant of its intention to do so twenty (20) days before the conveyance of the Lot or Dwelling Unit, Declarant shall convey to the Association or to the Master Association, the Common Areas designated on any Recorded Plat depicting such Lot or Dwelling Unit, prior to the conveyance of the Lot or Dwelling Unit to any such Owner if not already done. Such conveyance of Common Areas to the Association or the Master Association shall be made subject to the right of the Declarant to construct improvements or complete construction thereof, as applicable, on the Common Areas.

Section 9.4 Extent of Members' Easements. The rights of Members of the Association shall in no way be altered or restricted because of the location of Common Areas in any additions to the Property in which such Member is not a resident. The use of Common Areas belonging to the Association shall be a membership entitlement. The rights and easements of enjoyment created herein shall be subject, however, to the following:

(a) the right of the Declarant, in its sole discretion, to grade, pave or otherwise improve any road or street shown on any Recorded Plat;

(b) the right of the Association to formulate, publish and enforce reasonable rules and regulations concerning the use and enjoyment of the Common Areas, including the right to limit the number of guests, to regulate hours of operations and behavior, and to curtail any use or uses it deems necessary for either the protection of the Facilities or the peace and tranquility of adjoining residents;

(c) the right of the Association, as provided in its Articles of Incorporation or Bylaws, to suspend the enjoyment rights of any Member for any period during which any assessment of that Member remains unpaid, and for any period not to exceed sixty (60) days for any infraction of any published rules and regulations adopted by the Board;

(d) the right of the Association to lease and use any of the Common Areas for functions, lessons, or special events and to allow the lessee to charge admission or other fees for functions, lessons, or special events;

(e) the right of the Association or its assignee to charge reasonable admission and other fees for use of any of the Association's Facilities situated upon its Common Areas; and

(f) the right of the Association to dedicate or transfer all or any part of the Common Areas (which includes streets and roads) or private water/sewer lines to any public agency, authority or utility (public or private) for such purposes and subject to such conditions as may be agreed to by the Association. Except as provided below, no such dedication or transfer shall be effective unless the Declarant and the Members entitled to at least seventy-five percent (75%) of the Class I votes agree to such dedication or transfer and the Declarant and the Association signify their agreement by a signed and recorded written document; provided that, notwithstanding the foregoing, the Association and the Declarant shall each have the right, power and authority to grant easements and rights-of-way for the installation and maintenance of drainage facilities and of utilities, whether private, public or quasi-public, including cable television, water, gas and sewer upon, over, under and across any Common Area, without the assent of the Members when, in the sole opinion of the Declarant or the Board, as applicable, such easements are required or reasonably necessary for the development and/or the convenient use and enjoyment of the Property and, in the sole opinion of the Declarant or said Board, as applicable, will not unreasonably interfere with the overall use and enjoyment of the Common Areas; and provided further this Subsection shall not preclude the Board from conveying at such purchase price as the Board deems appropriate strips or portions of the Common Areas to any Owner in order to resolve any gap, gore, overlap or other boundary line conflict or to make the Lot more usable as a home site provided such conveyance does not in the good faith judgment of the Board adversely affect the overall use and enjoyment of the Common Areas.

Section 9.5 Conveyance or Encumbrance of Common Areas. Portions of the Common Area may be conveyed or subjected to a security interest by the Association if at least two-thirds of the Class I Members consent and with the affirmative vote of at least eighty percent (80%) of the total votes in the Association, made in writing and kept on file with the Association for at least five (5) years. Proceeds of the sale or financing of a Common Area shall be an asset of the Association. The Association, on behalf of the Owners, may contract to convey Common Area or subject it to a security interest, but the contract is not enforceable against the Association until approved by the Members of the Association as described herein. Thereafter, the Association has all powers necessary and appropriate to effect the conveyance or encumbrance, free and clear of any interest of any Owner or the Association in or to the Common Area conveyed or encumbered, including the power to execute deeds or other instruments. Any purported conveyance, encumbrance, or other voluntary transfer of Common Area, unless made pursuant to this Section, is void. No conveyance or encumbrance of Common Area pursuant to this Section may deprive any Lot or Dwelling Unit of its rights of access and support.

Section 9.6 Outside Use of Common Areas. The Master Association may, upon approval of the Association, permit Owners in other neighborhoods in the Community to use all or a portion of any Common Area upon payment of reasonable user fees, which fees shall be used to offset the Common Expenses attributable to such Common Area.

Section 9.7 Private Roads. In the development of the Property, the Declarant may construct certain private streets or roads within the Property connecting parcels of the Property to public rights of way. The Owners shall have an easement but no more than an easement for ingress and egress for themselves, their tenants, agents, employees, representatives, invitees and assigns over such private streets and roads, and there shall be no public rights of any kind

therein, unless approved by the Members in accordance with the provisions of Section 9.3. Declarant reserves the right to name and revise from time to time the names or other designations given to such private streets or roads.

ARTICLE 10 COVENANT FOR PAYMENT OF ASSESSMENTS

Section 10.1 Creation of the Lien and Personal Obligation for Assessments. Each Member, other than the Declarant, who is the owner of any Lot or Dwelling Unit, by acceptance of a deed therefor, and all other Members, whether or not it shall be so expressed in any such deed or other conveyance, shall be deemed to and does hereby covenant and agree to pay as limited below, to the Association:

- (a) annual assessments or charges as herein or in the Bylaws provided;
- (b) special assessments for capital improvements (such annual and special assessments to be fixed, established, and collected from time to time as herein or in the Bylaws provided); and
- (c) Special Individual Assessments, as defined and described in Section 10.5.

The annual and special Assessments and any Special Individual Assessments of an Owner and any fines, liquidated damages or summary charges as herein or in the Bylaws provided, together with such interest thereon and costs of collection thereof as herein provided, shall be a charge on the land and shall be a continuing lien upon the Lot or Dwelling Units against which each such Assessment is made in accordance with Section 10.10 below. Each such Assessment, together with such interest thereon and costs of collection thereof as hereinafter provided, shall also be the personal obligation of the person or persons jointly and severally, who is (are) the Owner(s) of such properties at the time when the Assessment fell due.

Section 10.2 Purpose of Assessments. The Assessments levied by the Association shall be used exclusively to promote the recreation, health, access, maintenance of property values, security, safety and welfare of the residents of the Property and other Members, and in particular for:

- (a) improvement, maintenance, and replacement of any of the Association's Common Areas including, without limitation, the Facilities;
- (b) payment of the Common Expenses;
- (c) implementation and enforcement of proper maintenance of exteriors of Dwelling Units and related improvements on Improved Lots in the Property, if necessary, subject to reimbursement by the Owner(s) of such property pursuant to Sections 11.1 and 11.2 of this Declaration;
- (d) establishment of capital replacement reserves; and

(e) acquisition of services and facilities devoted to the foregoing purposes or for the use and enjoyment of the Association's Common Areas, including but not limited to, the cost of repairs, replacements, additions, the cost of labor, equipment, materials, management and supervision, the payment of taxes assessed against those Common Areas, the procurement and maintenance of insurance related to those Common Areas, its recreational facilities and use in accordance with the Bylaws, the employment of attorneys to represent the Association if necessary, and such other requirements as are necessary to perform all of the aforesaid functions and purposes.

Section 10.3 Assessment of Uniform Rates. Except as otherwise expressly set forth herein (e.g., Section 10.14), both annual and special assessments shall be fixed at uniform rates for every Lot or Dwelling Unit within the Property. Assessments paid to the Association shall not in any way diminish or offset any Assessments due and owing under the terms of the Master Declaration to the Master Association unless otherwise specifically provided.

Section 10.4 Special Assessments for Capital Improvements.

(a) In addition to the regular annual Assessments, the Association may levy in any assessment year, a special Assessment, applicable to that year only, for the purpose of, without limitation, defraying, in whole or in part, the cost of professional or consulting fees, any construction or reconstruction, unexpected repairs or replacement of any capital improvement (including, without limiting the generality thereof, any lake, waterway, or pond) located upon the Association's Common Areas, including the necessary fixtures and personal property related thereto, provided that any such Assessment shall have the consent of two-thirds (2/3) of the votes of the Members who are voting in person or by proxy at a meeting duly called for this purpose, written notice of which shall have been sent to all Members in accordance with the provisions of the Bylaws for such special meetings.

(b) In addition to the foregoing special Assessment approved by the Members, as described in the preceding paragraph, the Association may levy a special Assessment, in the event of emergencies in which the Association perceives a threat to persons or to property, without the consent of the Members. The amount of such Assessment, however, may not exceed \$1,000.00 per Lot or Dwelling Unit.

Section 10.5 Special Individual Assessments. In addition to the regular annual Assessments and the special Assessments for capital improvements described above, the Association may levy, from time to time, on a particular Lot or Dwelling Unit rather than on all Lots, Dwelling Units or types of Lots or Dwelling Units in the Property, special individual Assessments, immediately due and payable, consisting of any fines assessed by the Association under authority contained herein or in the Bylaws for an Owner's violations of the terms and conditions of this Declaration, any liquidated damages or summary charges imposed under authority contained in this Declaration or the Bylaws, together with costs, fees and expenses (including reasonable attorneys' fees) incurred by the Association incidental to the enforcement of any rules and regulations, the collection of Assessments (both annual and special) or the collection of damages or charges arising under this Declaration or the Bylaws.

Section 10.6 Application of Surplus Funds. Any surplus funds of the Association remaining after payment of or provision for Common Expenses (including expenses for special Assessments described in Section 10.4 hereof), the funding of a reasonable operating expense surplus, and any prepayment of reserves (as established by the Board or as otherwise required by law), shall be paid to the existing Owners in proportion to their Commons Expense liabilities or credited to them to reduce their future Assessments for Common Expenses, the election of which application of the funds shall be made by the Board.

Section 10.7 Date of Commencement of Annual Assessment: Due Dates. The regular annual Assessments provided for herein shall be paid (as determined by the Board) in monthly, quarterly, semiannual, or annual installments. The payment of the regular annual Assessment by Owners shall commence as to each Lot or Dwelling Unit, on the first day of the month following the conveyance of that property by the Declarant. The first regular annual Assessment shall be adjusted according to the number of months remaining in the calendar year. The Board shall fix the amount of the annual Assessment at least fifteen (15) days in advance of each regular annual Assessment period. Written notice of the regular annual Assessment shall be sent to every Member subject thereto. The due dates shall be established by the Board. The Association, upon any qualified demand (as determined by the Board) at any time, shall furnish a certificate in writing signed by an officer of the Association setting forth whether any specific Assessment has been paid. Such properly executed certificate of the Association as to the status of the Assessment is binding upon the Association as of the date of its issuance. The first Assessments levied against any additions to the Property not now subject to Assessment, at a time other than the beginning of any Assessment period, shall be an amount which bears the same relationship to the regular annual Assessment as the remaining number of months in that year bear to twelve. The due date of any special Assessment under Section 10.4 or any other Assessments permitted by this Declaration shall be fixed in the resolution or resolutions authorizing such Assessment.

Section 10.8 Duties of the Board of Directors. The Board shall fix the amount of the Assessment or Assessments against each Member, for each Assessment period, at least fifteen (15) days in advance of such date or period and shall, at that time, prepare a roster of the Members and Assessments applicable thereto which shall be kept in the office of the Association, or at any other place designated by the Board upon notice to the Members, and which shall be open to inspection by any Member. Unless otherwise provided by the Board of Directors of the Association, the annual Assessment period ("Annual Assessment Period") shall be deemed the calendar year commencing January 1st and ending December 31st of any year. The Board of Directors of the Association shall have the right to change the Annual Assessment Period to a fiscal year other than a calendar year by vote of the Board of Directors. Within thirty (30) days after adoption of any proposed budget for the Townhomes, the Board shall provide to all Owners a summary of the budget and a notice of the meeting to consider ratification of the budget, including a statement that the budget may be ratified without a quorum. The Board shall set a date for a meeting of the Owners to consider ratification of the budget, such meeting to be held not less than ten (10) nor more than sixty (60) days after mailing of the summary and notice. There shall be no requirement that a quorum be present at the meeting. The budget shall be deemed ratified at the meeting unless at that meeting a majority of the Owners in the Association reject the budget. In the event the proposed budget is rejected, the periodic budget last ratified by the Owners (or the initial budget if no other budget has been ratified by the

Owners) shall be continued until such time as the Owners ratify a subsequent budget proposed by the Board.

Section 10.9 Judgments Against Association. Assessments to pay a judgment against the Association may be made only against the Lots or Dwelling Units at the time the judgment was entered, in proportion to their Common Expense liabilities. If Common Expense liabilities are reallocated, Assessments for Common Expenses and any installment thereof not yet due shall be recalculated in accordance with the reallocated Common Expense liabilities.

Section 10.10 Effect of Non-Payment of an Owner's Assessment: The Personal Obligation of the Owner; the Lien; Remedies of Association. If the Assessments of an Owner are not paid within thirty (30) days following the date due (being the dates referred to in Section 10.7), then such Assessments shall become delinquent and shall, together with such interest thereon and costs of collection thereof as hereinafter provided, become as of the date due a continuing lien on the Lot(s) or Dwelling Unit(s), as appropriate, from and after the time of the filing of a claim of lien with the Clerk of Superior Court of Mecklenburg County, which lien shall bind such Lot(s) or Dwelling Unit(s), as appropriate, in the hands of the then-Owner, his heirs, devisees, personal representatives, successors and assigns. The personal obligation of the then Owner to pay such Assessment shall remain his personal obligation for the statutory period; and, in addition, shall pass to his successors in title (as an encumbrance or lien against the Lot or Dwelling Unit, as appropriate) unless expressly waived by the Board. If the Assessment(s) is not paid within thirty (30) days after the due date, the Assessment(s) shall bear interest from the date of delinquency at the rate of one and one-half percent (1.5%) per month (or the highest rate allowed by law, whichever is less), and the Board, acting on behalf of the Association, may authorize its officers to bring appropriate civil action against the Owner personally obligated to pay the same or to file a claim of lien and foreclose such lien against any such Lot(s) or Dwelling Unit(s), as appropriate, in like manner as a mortgage on real estate under power of sale under Article 2A of Chapter 45 of the North Carolina General Statutes, and there shall be added to the amount of such Assessment, the costs of such action and reasonable attorneys' fees or other cost incurred by the officers of the Association pursuant to authority of the Board. In acceptance of a deed to a Lot, the Owner consents to, and grants to the Association, the power of sale provided herein. A claim of lien shall specify the name and address of the Association, the name of the record owner of the Lot or Dwelling Unit at the time the claim of lien is filed, a description of the Lot or Dwelling Unit, and the amount of the lien claimed. In the event a judgment is obtained against any Owner for such Assessments, such judgment shall include interest on the Assessment as above provided and a reasonable attorney's fee to be fixed by the court, together with the costs of the action. In addition, the Board may set a schedule of late fees also due and payable if an Assessment is not paid within thirty (30) days after the due date, which late fees shall be in addition to the other changes described herein.

Section 10.11 Subordination of the Lien on an Owner's Property to Mortgages or Deeds of the Trust. The lien on an Owner's property of the Assessments provided for herein shall be absolutely subordinate to the lien of any first mortgage or deed of trust now or hereafter placed upon any Lot(s) or Dwelling Unit(s), subject to Assessment. The subordination shall not relieve any Lot(s) or Dwelling Unit(s), from liability for any Assessments now or hereafter due and payable, but the lien thereby created shall be secondary and subordinate to any first mortgage or deed of trust as if said lien were a second mortgage, irrespective of when such first mortgage or

deed of trust was executed and recorded. The sale or transfer of a Lot, Improved Lot or Dwelling Unit shall not affect any lien for Assessments. However, the sale or transfer of a Lot or Dwelling Unit that is subject to a first mortgage or first deed of trust, pursuant to a foreclosure thereof or any proceeding in lieu of foreclosure thereof, shall extinguish the lien of such Assessments as to the payment thereof which became due prior to such sale or transfer. The extinguished Assessments shall be collectable as either a Common Expense or Special Assessment (as determined by the Board) from all Owners. No such sale or transfer shall relieve a Lot or Dwelling Unit from liability for any assessments thereafter becoming due, or from the lien thereof, but the liens provided for herein shall continue to be subordinate to the lien of any such first mortgage or first deed of trust.

Section 10.12 Exempt Property. The following property subject to this Declaration shall be exempted from the Assessments, charges and liens created herein:

- (a) all Common Areas as defined in Article Three of this Declaration;
- (b) all properties exempted from taxation by the laws of the State of North Carolina, upon the terms and to the extent of such legal exemption (Homestead exemptions shall not be considered an exemption); and
- (c) all Lots or Dwelling Units owned by the Declarant to the extent the provisions of Section 10.13 apply thereto.

Section 10.13 Declarant's Obligations for Assessments. As long as and whenever the Declarant owns ten percent (10%) or more of the Lots or Dwelling Units comprising the Property from time to time, the Declarant's obligation for Assessments on unsold Lots or Dwelling Units subject to this Declaration will be limited to the difference between the actual operating costs of the Association and the Assessments levied on the existing Members other than the Declarant. In no event, however, will the Declarant be required to make a deficiency contribution in any amount greater than the Builder Rate (defined below) on unsold Lot(s) or Dwelling Unit(s) owned by Declarant. Whenever the Declarant owns less than ten percent (10%) of the Lots in the Property, Declarant shall pay Assessments at the Builder Rate (as hereinafter defined) for each Lot or Dwelling Unit owned by the Declarant, and the Declarant shall not have any obligation to make a deficiency contribution.

Section 10.14 Builders' Obligations for Assessments. Notwithstanding anything to the contrary in Section 10.3 or Section 10.7, the annual Assessments on Lots or Dwelling Units owned by builders who do not intend to live in the improvements they are constructing or causing to be constructed on such Lots shall accrue annually at a rate equal to fifty percent (50%) of the rate applicable to Owners (other than the Declarant) (such discounted rate herein called the "Builder Rate") from the date of the builder's purchase of the Lot. As soon as a Lot becomes an Improved Lot, the builder shall pay Assessments at the full rate for each Dwelling Unit on the Improved Lot.

Section 10.15 Maximum Annual Assessment. Until January 1 of the year immediately following the conveyance of the first Lot or Dwelling Unit from the Declarant, the maximum annual Assessment shall be One Thousand Eight Hundred and No/100 Dollars (\$1,800.00) per

Lot or Dwelling Unit, as applicable. (This refers to the full rate of assessment, as defined in Section 10.3) From and after January 1 of the year immediately following the conveyance of the first Lot or Dwelling Unit from the Declarant, the annual Assessment each year shall be increased no more than ten percent (10%) of the previous years' Assessment, unless two-thirds or more of each class of the Members present or voting by proxy at a duly called meeting vote to increase the annual Assessments for a given year by more than ten percent (10%) more than the annual Assessments for the prior year. The Board may fix the annual Assessments at any amount not greater than the maximum described here or determined by the duly called meeting as described above. The limitation in the increase in the annual Assessments herein shall not apply to any change in the maximum amount of the Assessments undertaken as an incident to (1) a merger or consolidation in which the Association is authorized by law to participate, or (2) as an incident to any additions to the Property or submission of additional property pursuant to Section 1.2 of this Declaration.

Section 10.16 Assessments Separate from Assessments Pursuant to Master Declaration. Owners are hereby reminded that Assessments described hereunder are different from and in addition to any and all assessments established in the Master Declaration, and the levying and payment of Assessments pursuant to this Declaration does not diminish, replace, or alter the levying and payment of assessments by and to the Master Association as described in the Master Declaration.

Section 10.17 Reserve Funds. From and after the recording of this Declaration, the Association may establish and maintain a reserve fund or funds for replacement and maintenance of the improvements located on the Common Area or the Property. In that event, the Association shall allocate revenues from Assessments to such reserve fund or funds in such amounts and in such manner as may be established from time to time by the Board. The reserve fund or funds shall be segregated from operating funds of the Association and may be in the form of a cash deposit, or invested in certificates of deposit or similar obligations issued by a bank or savings and loan association or the obligations of, or fully guaranteed as to principal by, the United States of America. The reserve fund or funds shall be used for the purpose of repairing, replacing and maintaining any facilities owned by the Association, and for such other purposes as may be determined by the Board.

ARTICLE 11 INSURANCE AND RECONSTRUCTION

Section 11.1 Association Insurance. The Association shall procure and maintain, or cause to be maintained, insurance in accordance with the following provisions:

(a) Property Insurance. The Association shall obtain and maintain at all times a policy or policies of property insurance (ISO special form or its equivalent) covering all buildings and common area improvements located within the Common Area, in an amount not less than one hundred percent (100%) of the replacement cost of such improvements at the time such insurance is purchased and at the time of each renewal thereof, exclusive of the costs of excavation, paving, foundations and footings, with a commercially reasonable deductible not in excess of \$10,000.00.

(b) Liability Insurance. The Association shall obtain and maintain a policy of commercial general liability insurance in such limits as the Association may, from time to time, determine, covering each member of the Board, the property manager, if any, and each Owner with respect to liability arising out of the use, ownership, maintenance, or repair of the Common Area; provided, however, that in no event shall the limits of such policy ever be less than \$1,000,000.00 per occurrence. The liability insurance policy shall include endorsements covering cross liability claims of one insured against another, including the liability of the Owners as a group to a single Owner, and shall provide that it may not be cancelled or substantially modified without at least thirty (30) days' prior written notice to the Association and to all insureds, including all Owners and all Mortgagees. The Association shall review such limits annually.

(c) Fidelity Insurance. The Association shall procure and maintain, or cause to be maintained, a policy or policies of insurance coverage to protect against dishonest acts on the part of officers, directors, volunteers, managers and employees of the Association and any other persons who handle or are responsible for the handling of funds of the Association. Any such fidelity insurance policy must name the Association as the named insured and shall be written in an amount as may be determined by the Association, but in no event less than one half the annual budgeted amount of annual Assessments, or the amount required by any Mortgagee, whichever is greater.

(d) Other Insurance. The Board, or its duly authorized agent, shall have the authority to and shall obtain and maintain in effect such other insurance coverages as may be required by any applicable governmental entity or agency ("Agency") (as same may be amended or modified from time to time), and such other insurance coverages as the Board shall determine from time to time to be desirable, specifically including, without limitation, directors and officers liability insurance, performance bonds, payment on labor and material bonds and maintenance bonds. In addition, the Association shall maintain flood insurance on any Dwelling Unit located within a "special flood hazard area," as designated on a Flood Insurance Rate Map published by the Federal Emergency Management Association, or if otherwise required by any Agency.

Section 11.2 Premiums. Premiums upon insurance policies purchased by the Association, and any amounts paid as a result of a deductible on such policies, shall be paid by the Association and charged as a Common Expense of the Association for all purposes. All such premiums shall be paid by the Association at least thirty (30) days prior to the expiration date of such policies.

Section 11.3 General Standards. All insurance policies maintained by the Association or any Owner or Builder under this Article XI shall be written with a company or companies licensed to do business in the State of North Carolina and holding a rating of A or better in *Best's Insurance Guide*, provided that such insurance is available from a company with at least such a rating and that, in the event not so available, such insurance is obtained from a company with the highest rating available in *Best's Insurance Guide*. Upon request, duplicate originals of all such Association policies shall be furnished to all Owners and Mortgagees, provided that in lieu of such duplicate original policies the Association may deliver certificates to the Owners and the Mortgagees attesting the fact that such policies and such insurance are in force and

effect. The Association also shall furnish to all Owners and Mortgagees evidence that premiums for the insurance required of it have been paid on an annual basis.

Section 11.4 Owners' Insurance. Each Owner, by the acceptance of a deed or ground lease of such Owner's Dwelling Unit(s), hereby agrees and covenants to procure and maintain in full force and effect at all times, (I) comprehensive public liability insurance, in an amount of at least \$100,000.00 per occurrence, including liability for injuries to and death of persons, and for property damage, and (ii) hazard insurance against loss or damage to such Owner's Dwelling Unit(s) by fire or other insurable hazard and other appropriate damage and physical loss insurance, an amount equal to not less than one hundred percent (100%) of the full replacement insurable value of such Unit(s) and the Association shall be named as an additional insured/loss payee under such hazard insurance policy. If any Owner of a Dwelling Unit fails to maintain the insurance required in this Section 11.4, the Association may, but shall not be obligated to, obtain such insurance and pay any premiums required in connection with obtaining such insurance. Such Owner shall be personally liable to the Association for all costs incurred by the Association in obtaining such insurance, to the same extent as such Owner is liable for Assessments levied against such Owner's Lot(s). Upon the failure of such Owner to reimburse such premiums and costs within ten (10) days after such Owner's receipt of a written demand therefor from the Association, the Association may establish and enforce a lien therefor upon the Owner's Lot(s) in accordance with and subject to the provisions of this Declaration applicable to a lien for Assessments. Each Owner shall file a copy of such policies with the Association within thirty (30) days after purchase of each such Lot.

Section 11.5 Builder's Insurance. The foregoing provisions and any other provision of this Declaration to the contrary notwithstanding, during the period of time any Lot is owned by any Builder (if at all) and until construction of a Dwelling Unit on such Lot shall have been substantially completed as evidenced by issuance of a certificate of occupancy (or equivalent) for such Dwelling Unit: (I) the Association shall not be obligated to obtain or maintain property insurance on such Lot and/or Dwelling Unit; and (ii) the Builder which owns such Lot shall, at its sole cost and expense, obtain and maintain a so-called "**Builder's Risk Completed Value**" or "**Course of Construction**" insurance policy in non-reporting form for all improvements under construction, renovation or alteration in an amount approved by Declarant, such approval not to be unreasonably withheld or delayed. Such insurance shall in any event provide for the benefit of Declarant and the Association coverage substantially equivalent to the property insurance required above to be maintained by the Association after completion of such construction.

Section 11.6 Responsibility for Reconstruction or Repair.

(a) If any portion of the Common Area is damaged by perils covered by the property insurance maintained by the Association in accordance with Section 11.1(a), the Association shall cause such damaged portion to be promptly reconstructed or repaired with the proceeds of insurance available for that purpose, if any, and any such reconstruction or repair shall be substantially in accordance with the plans and specifications for the original development of the Property.

If the proceeds of insurance are not sufficient to repair damage or destruction of any part of the Common Area by fire or other casualty, or (b) the damage or destruction is caused by any casualty not insured against, or (c) insurance proceeds are not available for repair or reconstruction by reason of the application of deductible clauses of applicable policies, then the repair or reconstruction of any damaged improvements within the Common Area shall be accomplished promptly by the Association and the cost of such repairs shall be a Common Expense of the Association.

(b) Each Owner shall have the obligation to maintain in good condition and repair such Owner's Dwelling Unit and all other permitted structures and/or improvements located on such Owner's Lot in accordance with the applicable provisions of this Declaration. If any Dwelling Unit or improved portion of any Lot is damaged by perils covered by the property insurance maintained by the applicable Owner(s) in accordance with Section 11.4, such Owner(s) shall cause such damaged Dwelling Unit to be promptly reconstructed or repaired in accordance with the provisions of this Declaration and any such reconstruction or repair shall be substantially in accordance with the plans and specifications for the original construction of the applicable Dwelling Unit.

Section 11.7 Procedure for Reconstruction or Repair.

(a) In the event of a casualty causing damage to any portion of the Common Area, the following provisions shall govern and apply:

(i) Immediately after a casualty which causes damage to any portion of the Common Area, the Association shall obtain reliable and detailed estimates of the cost to place the damaged property in condition as good as that before the casualty. Such costs may include professional fees and premiums for such bonds as the Board deems necessary.

(ii) If the proceeds of the insurance for such casualty are not sufficient to defray the estimated costs of reconstruction and repair by the Association (including the professional fees and premiums, if any), one or more Special Assessments shall be made against all Owners in sufficient amounts to provide funds for the payment of such costs, and the proceeds of such Special Assessments shall be deposited with the Association; provided, however, that the Association may borrow funds to pay for such costs with the assent of two thirds (2/3) of the members of the Association voting at a meeting duly called for such purpose.

(iii) The proceeds of the property insurance referred to in Section 11.1 (a) and the sums deposited with the Association from collections of Special Assessments proceeds or authorized loans, as provided herein, shall constitute a construction fund which shall be held by the Association and applied to the payment of the cost of reconstruction and repair of the Common Area from time to time as the work progresses, but not more frequently than once in any calendar month. The Association shall make such payments upon a certificate dated not more than fifteen (15) days prior to such request, signed by an architect in charge of the work who shall be selected by the Association, certifying that the sum then requested is justly due to contractors,

subcontractors, materialmen, architects, or other persons who have rendered services or furnished materials in connection with the work, giving a brief description of the services and materials, and certifying that the sum requested does not exceed the value of the services and materials described in the certificate. It shall be presumed that the first monies disbursed in payment of such costs of reconstruction and repair shall be from insurance proceeds; and if there is a balance in any construction fund after payment of all costs of the reconstruction and repair for which the fund is established, such balance shall be disbursed to the Association which may use such excess funds for any purpose not in violation of this Declaration in the sole discretion of the Board.

(b) In the event of a casualty causing damage to all or any portion of a Dwelling Unit, the insurance proceeds from any Owner's insurance policy on such Dwelling Unit, unless retained by a Mortgagee of such Dwelling Unit, shall be applied first to the repair, restoration or replacement of the Dwelling Unit. Any such repair, restoration or replacement shall be done in accordance with the original plans and specifications for such Dwelling Unit; unless the Owner desires to construct structures differing from those originally approved and constructed, in which event the Owner shall submit plans and specifications for the differing improvements and structures to the Architectural Review Committee and obtain its approval prior to commencing the repair, restoration or replacement. If any Mortgagee does not permit insurance proceeds to be used to restore any damaged or destroyed Dwelling Unit, the Owner is still obligated to repair, restore or replace the damaged Dwelling Unit, at the Owner's own expense, promptly and expeditiously. If the Owner does not begin to make said repairs, restorations or replacements within a reasonable period of time after the damage or destruction has occurred, the Association shall have the right, but not the obligation, to have said repairs, restorations or replacements completed on the Dwelling Unit. If the Association chooses to proceed in this manner, the Owner of the Dwelling Unit shall be liable to the Association for costs incurred in completing the repairs, replacements or restorations on the Dwelling Unit, to the same extent and in the same manner as the Owner is liable for Assessments levied against such Dwelling Unit and/or associated Lot. Upon the failure of the Owner to pay such costs as may be incurred by the Association within ten (10) days after such Owner's receipt of written demand therefor from the Association, the Association may establish and enforce a lien therefor upon the Owner's Lot in accordance with and subject to the provisions of this Declaration applicable to an Assessment lien. If any Mortgagee does not permit insurance proceeds to be used to restore any damaged or destroyed Dwelling Unit, and both the Owner and the Association choose not to make said restoration, then the Owner or Association shall raze the remaining improvements and structures on said Lot and return the Lot to its natural condition free of all debris. The Owner shall be liable for any costs incurred by the Association in razing said improvements and structures, and also for any subsequent improvements that must be made to adjacent Dwelling Units, in order to maintain their integrity and the appearance of the Community and the Townhomes. Upon the failure of the Owner to pay such costs as may be incurred by the Association within ten (10) days after such Owner's receipt of written demand therefor from the Association, the Association may establish and enforce a lien therefor upon the Owner's Lot in accordance with and subject to the provisions of this Declaration applicable to an Assessment lien.

ARTICLE 12 MAINTENANCE; PARTY WALLS

Section 12.1 Maintenance by Association. The Association shall be responsible for the operation, maintenance and repair of the Common Area. In addition, the Association shall be responsible for the following items of exterior maintenance: lawn care in the front yard area of each Lot, maintenance and repair of all walkways and paved areas, periodic repainting of exterior building surfaces on each Dwelling Unit, and repair and replacement (if necessary) of the following structural elements of each Dwelling Unit: exterior walls and building surfaces, roofs, front stoops, gutters, and downspouts. Notwithstanding the foregoing, the Association shall not be responsible for any maintenance or repairs caused by the negligence or intentional misconduct of any Owner, his agents, invitees or family members, which shall be the responsibility of that Owner. Furthermore, in no event shall the Association be responsible for the repair and maintenance of windows and/or exterior doors, which items shall be repaired, maintained and replaced at the cost and expense of the Owner.

Section 12.2 Maintenance by Owners. Except for the maintenance required of the Association under Section 12.1, each Owner of a Lot shall keep the Lot owned by him, and all improvements thereon, in a clean and sanitary condition and in good order and repair. All fixtures and equipment installed within a Lot, commencing at a point where the utility lines, pipes, wires, conduits or systems enter the exterior walls of the Dwelling Unit, shall be maintained and kept in repair by the Owner thereof. If an Owner of any Lot fails to maintain that Lot and the improvements thereon in accordance with this Article XII in a manner reasonably satisfactory to the Board, in its sole discretion, the Board shall give written notice to such Owner and, if the necessary maintenance is not completed within twenty (20) days, the Association shall have the right, through its agents, contractors, and employees, to enter upon the Lot of the defaulting Owner and to repair, maintain and restore the Lot and the exterior of the building and any other improvements erected thereon in a reasonable and good and workmanlike manner. The cost of such repair, maintenance or restoration shall immediately be deemed a special assessment levied by the Association against such Owner and such Owner's Lot, shall become the personal obligation of such Owner and shall become a lien against such Lot enforceable in accordance with the provisions herein. In the event of an emergency (as so deemed by the Board in its reasonable discretion), the Association shall have the right, with or without prior notice to the Owner, to enter any Lot and Dwelling Unit to make emergency repairs necessary for the proper maintenance and operation of the Property.

Section 12.3 Party Walls.

(a) General Rules of Law Apply. To the extent not inconsistent with the provisions of this Article XII, the general rules of law regarding party walls and liability for property damage resulting from negligence or willful acts or omissions shall apply to each party wall or party fence which is built as part of the original construction upon each Lot and any replacement thereof. If any portion of any structure originally constructed by Declarant, including any party wall, any extension of a party wall, or any common fence, protrudes over an adjoining Lot, or into the Common Area; such

structure, wall or fence shall be deemed to be a permitted encroachment upon the adjoining Lot or Common Area, and the Owners and the Association shall neither maintain any action for the removal of the encroaching structure, wall or fence, nor any action for damages. If there is a protrusion as described in the immediately preceding sentence, it shall be deemed that the affected Owners or the Association have granted perpetual easements to the adjoining Owner or Owners for continuing maintenance and use of the encroaching structure, wall or fence. The foregoing provision also shall apply to any replacements in conformance with the original structure, wall or fence constructed by Declarant. The provisions of this Section 12.3 shall be perpetual in duration and shall not be affected by an amendment of this Declaration.

(b) Sharing of Repair and Maintenance. The cost of reasonable repair and maintenance of a party wall shall be shared by the Owners who own such party wall in proportion to their ownership, to the extent such maintenance is not the responsibility of the Association as set forth herein.

(c) Destruction by Fire or Other Casualty. If a party wall is destroyed or damaged by fire or other casualty, any Owner who has used the wall may restore it, and if any other Owner thereafter makes use of the wall, he shall contribute to the cost of restoration thereof in proportion to such use, without prejudice, however, to the right of any such Owner to call for a larger contribution from the other under any rule of law regarding liability for negligent or willful acts or omissions.

(d) Weatherproofing. Notwithstanding any other provision of this Declaration, an Owner who by his negligent or willful act causes the party wall to be exposed to the elements shall bear the whole cost of furnishing the necessary protection against such elements.

(e) Right to Contribution Runs With Land. The right of any Owner to contribution from any other Owner under this article shall be appurtenant to the land and shall pass to such Owner's successors in title.

(f) Easement and Right of Entry for Repair, Maintenance, and Reconstruction. Every Owner shall have an easement and right of entry upon the Lot of any other Owner to the extent reasonably necessary to perform repair, maintenance, or reconstruction of a party wall. Such repair, maintenance, or reconstruction shall be done expeditiously, and, upon completion of the work, the Owner shall restore the adjoining Lot or Lots to as near the same condition as that which prevailed prior to commencement of the work as is reasonably practicable.

(g) Certification With Respect to Contribution. If any Owner desires to sell his Lot, he may, in order to assure a prospective purchaser that no adjoining Owner has a right of contribution as provided in this article, request of the adjoining Owner or Owners a certification that no right of contribution exists, whereupon it shall be the duty of each adjoining Owner to make such certification immediately upon request and without charge. If the adjoining Owner claims the right of contribution, the certification shall contain a recital of the amount claimed and the basis therefor.

(h) Arbitration. In the event of any dispute arising concerning a party wall, or under the provisions of this Article XII, each party shall choose one arbitrator, and such arbitrators shall choose one additional arbitrator, and the decision of a majority of all such arbitrators shall be binding upon the Owners, who expressly agree to submit to and be bound by such arbitration procedure and decision. Should any party refuse to appoint an arbitrator within ten (10) days after written request therefor, the Board shall select an arbitrator for the refusing party. All arbitrators chosen shall be either architects, engineers, general contractors or attorneys licensed as such in North Carolina.

ARTICLE 13 AMENDMENT TO DECLARATION

Section 13.1 Owner/Member Initiated. An amendment to this Declaration may be proposed upon a majority vote of the Owners (including the Declarant while the Declarant is an Owner), whether meeting as Owners or by instrument in writing signed by them. Any proposed amendment to this Declaration shall be transmitted in writing to all current Owners, and there shall be called a special meeting of the Owners for a date not sooner than ten (10) days nor later than sixty (60) days from date of notice. It shall be required that each Owner be given written notice of such special meeting, stating the time and place, and reciting the proposed amendment in reasonably detailed form, which notice, if mailed, shall be mailed not less than ten (10) days nor more than sixty (60) days before the date set for such special meeting. Such notices shall be made in compliance with the provisions of Section 4.3 hereof, and after made in compliance therewith, shall be deemed to be properly given. Any Owner may, by written waiver of notice signed by such Owner, waive such notice, and such waiver, when filed in the records of the Association, whether before or after the holding of the meeting, shall be deemed equivalent to the giving of notice to such Owner. At the meeting, the amendment proposed must be approved by an affirmative vote of sixty-seven percent (67%) of the votes (with the votes being calculated as provided in Sections 8.2 and 8.3 hereof) of Owners (including the Declarant) entitled to vote in order for such amendment to become effective. At any meeting held to consider such amendment, the written vote of any Owner shall be recognized and counted even if such Owner is not in attendance at such meeting or represented thereat by proxy, provided such written vote is delivered to the Secretary of the Association prior to or at such meeting. If so approved, such amendment of this Declaration shall be properly transcribed and certified by two (2) officers of the Association as having been duly adopted and approved by the requisite percentages of Owners and lenders. The original or an executed copy of such amendment, properly executed with the same formalities as a deed, shall be recorded in the Office of the Register of Deeds of Mecklenburg County, and no such amendment to this Declaration shall be effective until so recorded. If any amendment to this Declaration creates an inconsistency in the Bylaws, to the extent such inconsistency exists, this Declaration shall control. Without the prior written consent of the Declarant (during Class II membership and for two years after the termination thereof), there shall not be allowed any Owner/Member-initiated amendments to this Declaration for a period of five years from the effective date hereof. The above limitation shall in no way limit or diminish Declarant's rights to make amendments to any part of this Declaration under the powers reserved in Section 13.2 below.

Section 13.2 Declarant's Right to Unilaterally Amend. Declarant, or its successor or assigns, shall be allowed to make (I) any amendments to this Declaration necessary, in the Declarant's opinion, for compliance with laws or regulations relating to FHA, HUD, VA, the Federal National Mortgage Association, or Office of Interstate Land Sales, or (ii) minor (non-substantial) amendments to this Declaration, notwithstanding any other provision contained herein, and without joinder of any other party, for the purposes of correcting any discovered typographical error contained herein, clarifying any ambiguity contained herein, or adding or deleting any incidental provisions deemed in the sole discretion of Declarant to be in the best interest of the Property, and the Owners therein, provided such incidental changes do not change the overall scheme of development of the Property as a residential development or change the Assessments of Lots. This right may be exercised, and shall be effective only upon the recordation of a "Corrected Declaration" in the Office of the Register of Deeds of Mecklenburg County, which Corrected Declaration shall specifically reference this document, and the provision impacted. In addition, the Declarant, for so long as Class II membership exists, may amend this Declaration as shall be necessary, in its opinion, with the consent and approval of FHA or VA, and without the consent of any Owner, in order to qualify the Association for tax-exempt status. Such amendment shall become effective upon the date of its recording in the Mecklenburg County Registry.

Section 13.3 When Effective; Recording; Title Searching. An amendment to this Declaration that complies with the provisions of Section 13.1 or Section 13.2 shall be effective when recorded in the Mecklenburg County Registry. The amendment shall be indexed under the name of the Declarant or its successor, the Association or its successor, or the Owners of the property in the Property. The failure of the amendment to be indexed under all of the foregoing shall not invalidate such amendment so long as the amendment has been indexed under at least one of the foregoing. Anyone searching title on Lots or Dwelling Units in the Property should search under the names of the foregoing to discover amendments to this Declaration that may have occurred after the Lot or Dwelling Unit has been conveyed to an Owner from the Declarant.

ARTICLE 14 VA AND FHA APPROVAL

In the event that any Owner hereafter finances its Dwelling Unit through a loan guaranteed or insured by the VA or the FHA or Dwelling Units within the Property are approved by the VA or the FHA as being eligible for such loans, then, until all Class II Membership ceases to exist and be converted to Class I Membership as provided in Article Eight hereof, the approval of either the VA or the FHA shall be obtained prior to: (I) the annexation of additional property to the Property subject to this Declaration, (ii) dedication of additional Common Areas other than Common Areas designated on existing plats of the Property, and (iii) amendment of this Declaration.

ARTICLE 15 CAPTIONS, INTRODUCTIONS AND GENDER

The captions and introductory material herein are inserted only as a matter of convenience and for reference and in no way define, limit or describe the scope of this Declaration nor the intent of any provision hereof. The use of the masculine gender in this Declaration shall be deemed to refer to the feminine and neuter genders, and the use of the singular shall be deemed to refer to the plural, and the use of the plural shall be deemed to include the singular, whenever the context so requires.

ARTICLE 16 SEVERABILITY AND GOVERNING LAW

If any provision of this Declaration is found to be invalid by any court, the invalidity of such provision shall not affect the validity of the remaining provisions hereof, and for the purposes hereof all covenants as contained herein shall be deemed to be severable each from each other without qualification. This Declaration and the separate provisions thereof shall be construed and enforced in accordance with the laws of the State of North Carolina without regard to principles of conflict of laws.

ARTICLE 17 CONSTRUCTION ACTIVITIES

All Owners, occupants, and users of Lots are hereby placed on notice that Declarant, and/or its agents, contractors, subcontractors, licensees, and other designees, successors, or assigns, may, from time to time, conduct blasting, excavation, construction, and other activities within The Property. By the acceptance of a deed or other conveyance or mortgage, leasehold, license, or other interest, and by using any portion of a Lot or the Property generally, the Owners and all occupants and users of Lots acknowledge, stipulate, and agree (a) such activities shall not be deemed nuisances, or noxious or offensive activities, under any applicable covenants or at law generally; (b) not to enter upon, or allow their children or other persons under their control or direction to enter upon (regardless of whether such entry is a trespass or otherwise) any property within or in proximity to the Lot where such activities are being conducted (even if not being actively conducted at the time of entry, such as at night or otherwise during non-working hours); (c) that Declarant, and all of its agents, contractors, subcontractors, licensees, and other designees, successors and assigns, shall not be liable but, rather, shall be held harmless for any and all losses, damages (compensatory, consequential, punitive, or otherwise), injuries, or deaths arising from or relating to the aforesaid activities; (d) that any purchase or use of any portion of a Lot has been and will be made with full knowledge of the foregoing; and (e) this acknowledgment and agreement is a material inducement to Declarant to sell, convey, lease, and/or allow the use of Lots within the Property.

ARTICLE 18 RIGHTS OF DEVELOPER

The following rights and easements hereby are granted to, or reserved by, Developer, its successors and assigns, and are in addition to all other rights granted to or reserved by Developer in this Declaration.

Section 18.1 Developer's Easements. Developer, its agents and contractors, shall have all of the rights and easements of Declarant under this Declaration with respect to easements over, under and through the Sub-Association Common Area. Developer shall have the following additional non-exclusive rights and easements over, under and through the Sub-Association Common Area. For the purposes of this Section, the term "Developer" also includes any assignee of Developer or successor developer of any part or all of the Community.

(a) The right to grant perpetual utility easements on, over, under, across and through the Sub-Association Common Area as may be reasonably necessary for development of the Townhomes development and/or other portions of Community, and the Association shall, upon request, execute any such easement to permit recording of same. For purposes of this Article, "utility" or "utilities" include, without limitation, water, sanitary sewer, storm water drainage, electricity, telephone, natural gas, cable television, greenway easements, and buffers required by Town of Davidson ordinances or other governmental laws, ordinances and regulations. Such easements may be granted by written instrument or plat, and may be publicly-dedicated or private easements. Insofar as reasonably practicable, and except for any portions thereof that by necessity must be at or above the surface of the ground, all utilities installed, used and maintained pursuant to such easements shall be underground. Unless specifically excluded therefrom, the grants of all such easements by Grantor are deemed to include a right of ingress, egress and regress over and upon all portions of Sub-Association Common Area as reasonably required to facilitate the exercise of such easements.

(b) The right to install, use and maintain in Sub-Association Common Area such utilities as may be reasonably required for development of the Townhomes development and/or other portions of the Community.

(c) The right to install, use and maintain in Sub-Association Common Area signs, landscaping (including, without limitation, grass, plants, lighting, and irrigation), fencing and other decorative features in connection with development of the Townhomes development.

(d) The right to construct, improve, repair, replace and maintain any and all private streets, driveways and alleys that constitute any part of the Sub-Association Common Area, in accordance with any requirements of the Town of Davidson, North Carolina or other governmental entity and/or in accordance with any contractual obligations of Grantor to any person or legal entity.

(e) A non-exclusive right of pedestrian and vehicular ingress, egress and regress over and upon all Sub-Association Common Area for the purposes of exercising the rights and easements reserved by or granted to Developer under this Declaration, provided, however, that, with respect to vehicular ingress, egress and regress, to the extent reasonably practicable Developer shall use only those portions of the Sub-Association Common Area designed or designated for use by vehicles, such as private streets, driveways and alleys.

(f) A nonexclusive right and easement at all times to enter upon any portion of any easement on to the extent necessary to gain access and maintain improvements and facilities in such easement and/or to exercise its rights as Declarant under the Master Declaration or as Developer or Declarant under this Declaration, and no such entry shall be deemed a trespass. To the extent practicable, the Developer shall give reasonable oral notice to the Owner or occupant of such Lot prior to exercising the rights specified in this paragraph.

(g) The easements reserved for Developer in this Article shall exist and continue through the later of (i) the end of the Developer's developing of the Community, or (ii) the time when Developer has completed all of its obligations to (a) the Town of Davidson or (b) any owner of any lot subdivided out of the real property described on Exhibit A or (c) any owner of any lot subdivided out of the real property in the Community (provided, however, that any easements granted by Developer pursuant to this Article shall exist and continue for the term granted by Developer). Developer also may terminate any part or all of said easement rights by recording in the Mecklenburg County, North Carolina Registry an easement termination document executed by Developer.

Section 18.2 Amendments of this Article. As long as the easements reserved for Developer in this Article exist and continue as provided herein, the provisions of this Article may not be amended without the written consent of Developer.

Section 18.3 Compliance with Laws. Developer's exercise of all rights and easements under this Article shall comply with all applicable governmental laws, ordinances and regulations.

-- Signature page follows --

IN WITNESS WHEREOF, the Declarant and the undersigned Owner of Lot No. 96, have caused this Declaration to be duly executed, and if corporate, by due authority, as of the date first above written.

DECLARANT:

TOWER, INC.,
a North Carolina corporation

By: *Rick Enderby* or President
Rick Enderby, its President

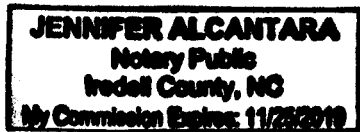
Richard D. Enderby (SEAL)
Richard D. Enderby

Lou Ann Currin (SEAL)
Lou Ann Currin

STATE OF North Carolina
COUNTY OF Iredell

I, Jennifer Alcantara, a Notary Public of Iredell
County, State of North Carolina, do hereby certify that RICK ENDERBY,
President of TOWER, INC., a North Carolina corporation, personally
appeared before me this day and acknowledged the due execution of the foregoing
instrument as his act and deed and as the act and deed of TOWER, INC.

Witness my hand and notarial seal, this 2nd day of March, 2015.



Jennifer Alcantara
Notary Public

Print Name: Jennifer Alcantara

[Note: Notary Public must sign exactly as on
notary seal]

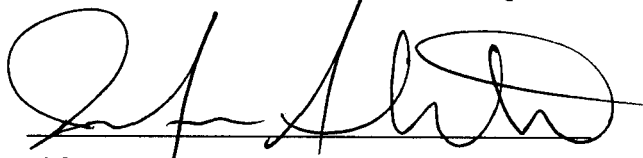
My Commission Expires: 11/25/2019

☞ [NOTARY SEAL (MUST BE FULLY LEGIBLE)]

STATE OF NORTH CAROLINA

COUNTY OF Iredell

I, a Notary Public of the County and State aforesaid, certify that Richard D. Enderby and Lou Ann Currin personally came before me this day and acknowledged the execution of the foregoing instrument. Witness my hand and official stamp or seal, this ~~February~~^{2nd} day of ~~February~~^{March}, 2015.


Jennifer Alcantara
Notary Public

My Commission Expires: 11/25/2019

(Official Seal)

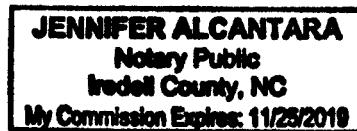


EXHIBIT A

ALL that certain real property situated in the Town of Davidson, Mecklenburg County, North Carolina and more particularly described as follows:

BEING ALL of Lots 96 and 97, as shown on that certain plat with the sheet title "Record Plat – 1.279 acres" and the project name "Davidson Bay, Phase 2, Map 4" and recorded in Map Book 56 at Page 912 of the Mecklenburg County, North Carolina Register of Deeds.